



Annual Report Analysis FY2021-22

New Products/Improvements/Expansions

- **Launches:** 1 new product in Herbicides and Fungicides group as well as 4 new products in Insecticides group in FY22
- **Expansion for Sumitomo Japan:** Proprietary technical grade active ingredients product
Timeline: 1st project – expect commercialization in FY23
2nd Project – expect commercialization in FY24
- Completed feasibility study for introducing 3 new technical grade products

Product Profile

Present in all the product segments insecticides, weedicides, fungicides, fumigants and rodenticides, plant growth nutrition products, bio-rationals and plant growth regulators.

Sales break up for agro solution business (FY22):

- Insecticides – 47%
- Herbicides – 22%
- Plant growth regulators – 10%
- Fungicides – 11%
- Metal phosphides – 10%

Segment Breakup (FY22):

- Generic: 70%
- Speciality: 30%

Bulk & Branded (FY22):

- **Domestic**
 - Bulk: 21%
 - Branded: 79%
- **Exports**
 - Bulk: 76%
 - Branded: 24%

Key Products

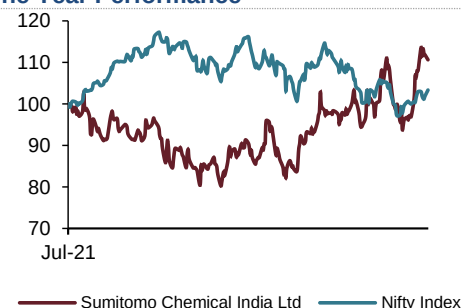
- Glyphosate (Herbicide)
- Profenophos (Insecticide)
- Dantotsu (Insecticide)
- Tebuconazole (Fungicide)
- Progibb (Plant growth regulator)

Rating	TP (Rs)	Up/Dn (%)
NOT RATED		

Market data

Current price	Rs	483
Market Cap (Rs.Bn)	(Rs Bn)	241
Market Cap (US\$ Mn)	(US\$ Mn)	3,016
Face Value	Rs	10
52 Weeks High/Low	Rs	511.9 / 341.2
Average Daily Volume	('000)	208
BSE Code		542920
Bloomberg		SUMICHEM.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	75.0	75.0
Public	25.0	25.0
Total	100	100

Source: Bloomberg

Bhavya Gandhi

+91 22 67141486

bhavya.gandhi@dalal-broacha.com

Industry Outlook

- Agriculture sector contributes **18% of country's GDP**
- India is the **4th largest producer** of agrochemicals in the world after USA, Japan and China.
- The Indian agrochemicals industry was valued at around USD **5.72 billion (~Rs.43,000 crs)** in the financial year 2020-21, almost equally accounted for by domestic consumption (approximately USD 2.72 billion) and exports (approximately USD 3.00 billion). Expected to grow at a CAGR of 8-10% till 2025.
- India is the **5th largest exporter** of agrochemicals
- Consumption of agrochemicals in India is very low (**0.6 kg/ha**) as compared to agriculturally advanced countries like as China (13.1 kg/ ha), Japan (11.8 kg/ ha), Brazil (6kg/ha) and USA (2.5 kg/ ha) (ha = hector)
- China + 1 Procurement model along with continued healthy demand from Brazil and the US (accounting for about 45% of India's exports) and increasing supplies to Europe (accounting for about 15% of Indian exports), is expected to lead to exports growing at 15 per cent this fiscal and 12-13 per cent in the next year.
- Higher area under cultivation and increase in minimum support prices for key crops such as paddy, cotton, groundnut, soybean and bajra, which account for about two thirds of the domestic crop production, should further boost agrochemicals sector.
- The government is expected to bring a production linked incentive scheme for promotion of the domestic manufacturing of agrochemicals.
- Indian farmer loses around 20-25% of the production to pests and diseases.
- Indian agrochemical industry's dependence on China for sourcing critical raw materials and intermediates is an area of concern.
- Due to higher cost inventory and slower receivables, the industry's working capital remained stretched (**Sumitomo's Net Working Capital Days: FY22 - 133 days vs FY21 - 104 days**)
- **Going Forward:**
 - IMD and Skymet have predicted India's fourth consecutive normal monsoon
 - Good rabi season, higher crop realizations, good water reservoir levels and monsoon forecast - Farmers sentiment appears to be positive

Employees

- Permanent: 1,696
- Contractual: 3,717

Risks & Concerns

- Complexity of rural marketing
- MSP realization
- Farmer support policy implementation
- Low land holding
- Lack of irrigation facility

Key Ratios

RoNW: FY21: 25.24%
FY22: 25.13%

Geographical Breakup

- India/Domestic: 78%
- Exports: 22%

Capex Plan:

- Maintenance Capex: Rs70-75 crs p.a
- Additional Capex: Rs.120 crs over 2 years for 5 products (5 products have been approved in-principle for supply to SCC Japan)
- Revenue potential of these 5 products on the above capex is Rs. 200-250 crs p.a.
- Estimated margins are in line with current margins earned by SCIL for similar projects (18-20% EBITDA Margin)
- Commercial production is expected to start in Q1FY23 for one product & during Q1FY24 for second project involving multiple products

Other Key Data & Metrics

- Grown 13x over FY11-22 (On an organic basis, grown 6x+)
- 5 Manufacturing Facilities
- 14 Technical Actives
- 40,000+ dealers
- 16,000+ direct distributors & 60+ depots
- 4.4 Mn+ Farmers connected
- ~600 Sales Team
- 25+ patents & 200+ registrations
- R&D Expenses as a % of sales: 0.4%
- Crossed Rs.3,000 cr sales mark in FY22
- Cash + Liquid Investments = Rs.599 crs as on 31st March 2022

Simplifying Concepts

Kharif Season:

- In India, the season is popularly considered to start in June and end in October. Kharif crops are typically sown at the beginning of the first monsoon rains.
- Harvesting season begins from the 3rd week of September to October.
- **Examples of Kharif crops:**
Rice, Maize, Sorghum, Bajra, Soybean, Cotton

Rabi Season:

- They are grown in October or November. These crops require frequent irrigation. These are the crops that are sown at the beginning of the winter season.
- The crops are then harvested in spring.
- **Examples of Rabi crops:**
Wheat, Barley, Oats, Pulses, Mustard, Linseed

Where is Sumitomo India placed in agrochemical universe?

- The Indian agrochemicals industry is highly diverse. It has players who are small and medium dealing in generic off patent molecules.
- It has players who are large multinationals with high priced new generation and patented molecules.
- The industry has players who manufacture only technical grade pesticides. Some players are pure formulators.
- The industry also has some players who produce both – technical grade pesticides and formulations.
- There is an ancillary segment which manufactures intermediates for technical grade pesticides.
- Sumitomo is one of the leading players in the industry which has a balanced portfolio of technical as well as formulation products along with backward integration for some products.

About Parent Company: Sumitomo Chemical Company Limited, Japan (SCC)

- Sumitomo started business in Japan in early 16th Century (400 years+)
- SCC was founded in 1913 and undertakes several chemical related businesses as an independent listed company
- SCC is a leading Japanese research driven diversified chemical company listed on the Tokyo Stock Exchange with consolidated sales revenue of more than US\$ 22.5 bn (Health & Crop Sciences Sector – Revenue of more than US\$ 3.8 bn)
- SCC holds 12,600+ Patents of which ~34% are in Health & Crop Science
- Strong pipeline of AgroSolutions and Environmental Health products with very high business potential of ~US\$1.4 - \$1.8 bn
- SCC recently acquired Nufram's distribution in Latin America thereby gaining leadership position in Latin America Generics Market Segment

About Sumitomo Chemical India Limited (SCIL)

- SCIL is known for domestic marketing of proprietary products of its Japanese parent – Sumitomo Chemical Company, Limited in agrochemicals, animal nutrition and environment health business segments.
- SCIL has presence in all the product segments insecticides, weedicides, fungicides, fumigants and rodenticides, plant growth nutrition products, biorationals and plant growth regulators.
- SCIL is also one of the few industry players having both chemical and biological products in its portfolio. SCIL has strong portfolio of generics as well as specialty products and a strong marketing network and counts as a leading Indian crop protection company.
- SCIL is the only Technical Grade manufacturing site outside Japan

Director Remuneration

- Chetan Shah (Managing Director): Rs.72.03 Mn
- Sushil Marfatia (Executive Director): Rs.23.84 Mn

Auditors

- Statutory Auditors: M/s. SRBC & CO LLP (Part of Ernst & Young,India)
- Audit Fees: Rs.6.36 Mn

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any

copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Mr Mayank Babla	Sr. Analyst	mayank.babala@dalal-broacha.com	022-67141412	IT Telecom Media
Ms. Anusha Raheja	Analyst	anusha.raheja@dalal-broacha.com	022-67141449	BFSI
Mr. Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG Retail
Mr. Harsh Shah	Associate	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com